Individual Assignment Cover Sheet

MBA 2024/2025

Student Blind Grade Numbers (BGNs): 5935N

Assignment Code: MBA132

Name of Course: Strategy

Lecturers for this Coursework: Prof. Marc A. Feigen

Hand-in date: 2/June/2025

Word Count: 1490

For individual assignments, I confirm that this piece of work is my own and does not violate the Cambridge Judge Business School's guidelines on plagiarism - see the MBA Programme Handbook & CJBS plagiarism for details.

UNIVERSITY OF CAMBRIDGE
Judge Business School
TheCambridgeMBA

CEO Leadership Reflection – NVIDIA in the times of aggressive growth and challenges

In May 2023, following the departure of Jensen Huang, a transformative leader in the history of NVIDIA, a new era began for this hugely innovative organisation and for my career. Assuming the role of CEO after a founder of a stature like Steve Jobs or Bill Gates required not only a continuation of strategic excellence but also a redefinition of leadership for the next phase of the company's exponential trajectory.

Over this period, I have applied successfully the "Unique Work of the CEO" framework from Feigen Advisors (2023) and enabled key strategies on three foundational elements from the "7 Powers" according to Helmer (2016) which are Switching Costs, Branding and Process Power. Consequently, this has enabled sustaining and growing NVIDIA's global impact through these last 24 months despite major challenges as summarised below.

Setting the Vision, the Strategy, and the Plan; Driving Execution

Upon taking leadership at NVIDIA, I re-evaluated our vision by applying Porter's (1979) five competitive forces: industry rivalry, threats from new entrants and substitutes, and supplier and buyer power. With rising competition from firms like DeepSeek, I defined a forward-looking vision to deepen NVIDIA's defensible resources. These include our Compute Unified Device Architecture (CUDA) ecosystem, data centre leadership, and expansion into areas such as Generative AI infrastructure.

Strategically, I prioritised differentiation and cost leadership through tighter hardware-software integration and proprietary AI models to reduce third-party dependence. Partnerships with governments and cloud providers have helped neutralise substitute threats, while vertical integration, including the acquisition of key intellectual property, has reduced dependency on suppliers. This clarity has guided our resource allocation and market focus.

Talent retention has been central to our strategy, inspired by Reed Hastings' principles of talent density, fair pay, and context over control (Hastings, 2020). In the past year, 231 high-calibre Intel employees joined NVIDIA, accounting for 9.24 percent of new hires, as we maintained top-tier compensation (Munyikwa, 2024) as shown in figure 1.

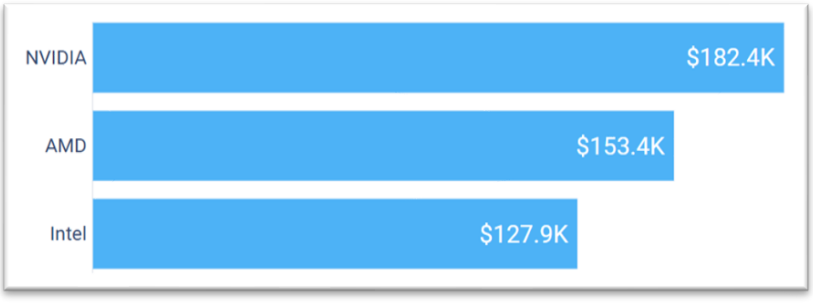


Figure 1. Average salaries of current GPU-related U.S. employees in September 2024 (Munyikwa, 2024)

Execution centres on decentralised innovation teams with defined KPIs, strong talent acquisition, and fast iteration cycles. Porter's framework has informed every decision layer, supporting a resilient and adaptive leadership approach that empowers our executive team.

Setting the Capital Management Strategy

As part of the capital strategy, I enabled NVIDIA to increase our investment in foundational models and datacentre AI offerings. Rather than distributing excess capital via large buybacks, capital was directed toward targeted acquisitions and strategic equity stakes in AI startups using NVIDIA infrastructure, ensuring ecosystem lock in.

The capital allocation framework prioritised our Research and Development spend on inference optimisation, ML model compression, and next generation GPU architectures. Our balance sheet will show high resilience while maintaining top tier supply chain credit terms. In order to protect and expand the moat (Helmer, 2016), this strategy has created long term financial flexibility to deepen NVIDIA's entrenchment in core sectors such as health, robotics, cloud and digital twin integration.

I was inspired by how ex-CEO Alan Mulally safeguarded Ford during the 2008 crisis by boldly mortgaging the company's assets to build a financial cushion (Feigen and Rosenberg, 2023). That lesson encouraged me to think differently about preparing NVIDIA for uncertainty, not from a place of fear, but to stay competitive and keep innovating even during challenging times. This means ensuring we have flexible funding options, like keeping a strong cash reserve, exploring long-term financing at favourable terms, and focusing our resources by possibly selling off non-essential parts of the business. It has been about staying agile and future-ready without weakening our financial foundation.

Ensuring Effective Governance

Inspired by my peer Judy Marks CEO of Otis, I defined further our governance on "what we can control" (Edgecliffe-Johnson, 2024), I have focused on ensuring effective crisis governance by reinforcing agile management and decisive leadership. This involved scenario planning, rapid-response teams, and clear operational priorities to handle threats like DeepSeek. Transparent structures and real-time performance tracking would support quick, informed decisions without losing sight of long-term goals.

Leadership should remain visible, and values driven. Like Marks, I have maintained open communication through regular updates and engagement across all levels to secure stability and trust. Upholding integrity, through data ethics, sustainability, and principled innovation, reinforces NVIDIA's credibility and resilience, positioning it as a responsible leader amid disruption. A key priority was to protect the board's independence and improve transparency. This included redesigning internal reporting dashboards and restoring board committee flows for capital spend, ethics, and innovation risk.

Post transition, we reconfigured to include ESG principles on AI ethics and quantum computing expertise. New directors I appointed have brought backgrounds in sustainable manufacturing scale, essential for NVIDIA's global ambitions. Governance frameworks were reviewed to strengthen enterprise risk management, with stricter standards over AI security, LLM misuse, and platform dependence risks.

Building Trust and Confidence with Investors and Stakeholders

Investor confidence was a central priority during leadership transition. With the stock having tripled over a short period, expectations were high. The investor relations team adopted a communication model, emphasising the defensibility of the platform through switching costs (Helmer, 2016). The vision of NVIDIA as an AI operating layer for global infrastructure was reinforced across earnings calls and investor summits.

One of the most challenging times I faced as a CEO was the sudden drop of the shares value of NVIDA following the announcement from DeepSeek in China of the performance metrics. The stock value suddenly dropped from which was a major contrast with respect to the previous 18 months of performance (Macrotrends, 2025), shown at figure 2. Despite we lost USD 600 Billion in Market Capitalisation, I decided to recognise DeepSeek publicly as an 'excellent AI advancement' (Barlow and Krol, 2025) this was a major sign of integrity for NVIDIA.

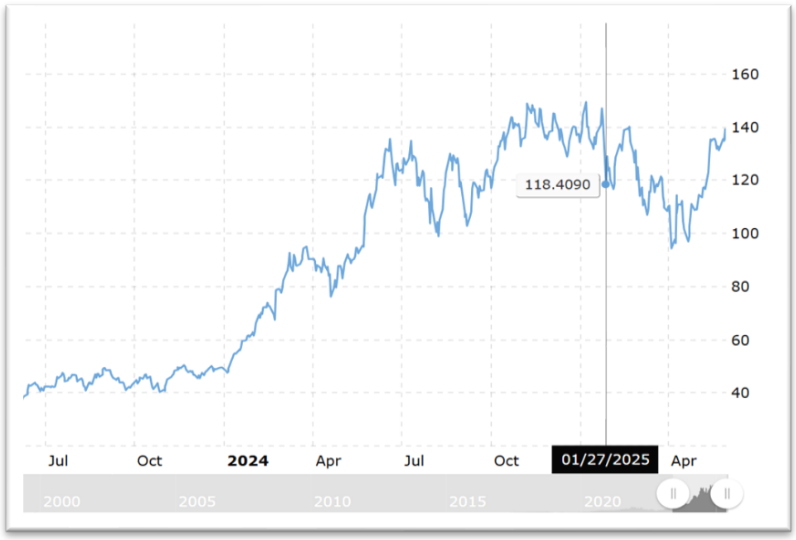


Figure 2. 2 years of shares market value, emphasising the drop of value on January 27 2025 (Macrotrends, 2025)

To retain the confidence with investors, I called for a major shareholder global meeting a few days after the new. The key message was to keep faith in our AI project (Brustein, 2025) but emphasised on our strengths and future vision. A 93% year-over-year growth in data centre revenue demonstrates robust demand, while continued innovation, such as our upcoming Blackwell chips (NVIDIA, 2024b), signals strategic direction. Transparent communication and strong partnerships with cloud and tech firms further confirmed NVIDIA's central role in the AI ecosystem, reinforcing confidence in its long-term resilience and market leadership.

Furthermore, our executive board approved my plan on reinforcing two strategic powers: Branding and Process Power (Helmer, 2016), see figure 3. By strengthening its brand as the trusted leader in AI infrastructure, NVIDIA has obtained market leadership and long-term relevance. This includes clear messaging around product reliability, performance, and its unique developer ecosystem, which builds loyalty and reassures stakeholders. At the same time, leveraging Process Power requires refining core capabilities like chip design, integration, and time-to-market speed. These internal strengths are difficult to replicate and provide a lasting advantage, signalling that NVIDIA remains both innovative and operationally resilient in the face of external challenges.

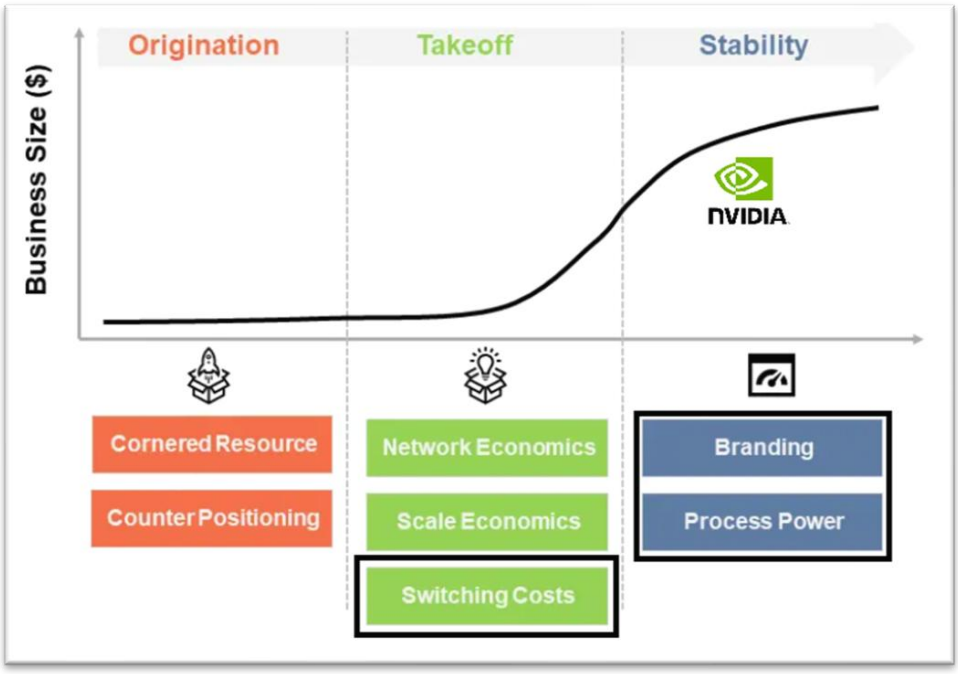


Figure 3. Leveraging critical powers for NVIDIA at the Power Progression Curve (Helmer, 2016)

Strengthening Personal Leadership and Decision Making

This leadership journey began with humility, recognising that succeeding a founder required respect for legacy and a readiness to redefine the future. A structured decision-making model was adopted, combining stakeholder mapping, scenario planning, and intuitive judgement. Guided by Porter and Nohria (2018), I prioritised time for high-impact activities that strengthen leadership, strategy, team alignment, and relationship-building.

Deliberate time was invested in learning from internal engineers and global partners. I formed a personal leadership circle of advisers in AI policy, deep tech, and national security, which helped shape NVIDIA's positions on AI safety and regulatory engagement. Consistent with Porter and Nohria's research, my approach focused on integrating diverse perspectives into bold, pragmatic decisions.

Conclusion

Leading NVIDIA through this transformative phase has demanded a careful balance of continuity and renewal. Succeeding a visionary founder meant not only preserving strategic strengths, but also reshaping leadership for an era defined by rapid innovation and fierce competition. By applying frameworks such as Helmer's strategic powers and the CEO framework from Feigen Advisors, I was able to guide the company through challenges including the emergence of DeepSeek.

Strategic clarity, resilient capital allocation, and governance reform have played a pivotal role in strengthening NVIDIA's foundations. Rebuilding investor trust required transparency, humility, and a renewed emphasis on brand value and internal capabilities. Moreover, the emphasis on talent, decentralised innovation, and ethical leadership ensured that NVIDIA remained agile and future-focused. As AI continues to reshape the global landscape, our long-term success will depend not only on technology, but on the integrity, judgement, and adaptability of our leadership. This journey has reaffirmed my belief that purposeful leadership, grounded in strategic insight and collaborative learning, is essential for sustaining both growth and trust in times of disruption.

References

Barlow, G. and Krol, J. (2025) *NVIDIA calls DeepSeek an "excellent AI advancement" and praises the Chinese AI app's ingenuity*, *TechRadar*, 28 January. Available at: https://www.techradar.com/computing/artificial-intelligence/NVIDIA-calls-deepseek-an-excellent-ai-advancement-and-praises-the-chinese-ai-apps-ingenuity (Accessed: 18 May 2025).

Brustein, J. (2025) *NVIDIA Keeps the Faith in the AI Project*, Bloomberg, 27 February. Available at: https://www.bloomberg.com/news/newsletters/2025-02-27/NVIDIA-keeps-faith-in-ai-chip-spending-in-face-of-deepseek-chatbot (Accessed: 23 May 2025).

Edgecliffe-Johnson, A. (2024) *Focus on what we can control*: Otis CEO Judy Marks on finding growth during uncertainty. *Semafor*. [Online] 5 February. Available at: https://www.semafor.com/article/04/17/2025/focus-on-what-we-can-control-otis-ceo-judy-marks-on-finding-growth-during-uncertainty (Accessed 25 May 2025).

Feigen, M. and Rosenberg, S. (2023) *Ford Case A – Mark Fields and the Ford Motor Company*. Feigen Advisors LLC.

Feigen Advisors (2023) *Unique Work of the CEO*. Private and Confidential, November 2023.

Hastings, R. and Meyer, E. (2020) *No Rules Rules: Netflix and the Culture of Reinvention*. London: Virgin Books.

Helmer, H. (2016) *7 Powers: The Foundations of Business Strategy*. Stanford, California: Flatiron Publishing.

Macrotrends. (2025) *NVIDIA's last 2 years of stock price value*. Available at: https://www.macrotrends.net/stocks/charts/NVDA/NVIDIA/stock-price-history (Accessed: 15 May, 2025).

Munyikwa, Z. (2024) *The workforce strategy behind NVIDIA's meteoric rise to dominance*. Revelio Labs. Available at: https://www.reveliolabs.com/news/tech/the-workforce-strategy-behind-NVIDIA-s-meteoric-rise-to-dominance/ (Accessed 20 May 2025).

NVIDIA. (2024) *Oracle and NVIDIA collaborate to deliver sovereign AI solutions*. Available at: https://NVIDIAnews.NVIDIA.com/news/oracle-NVIDIA-sovereign-ai (Accessed: 15 May 2025).

NVIDIA. (2024b) *NVIDIA Blackwell Platform Arrives to Power a New Era of Computing*. Available at: https://NVIDIAnews.NVIDIA.com/news/NVIDIA-blackwell-platform-arrives-to-power-a-new-era-of-computing (Accessed: 19 May 2025).

Porter, M.E. (1979) *How competitive forces shape strategy*, Harvard Business Review, 57(2), pp. 137–145.

Porter, M.E. and Nohria, N. (2018) 'How CEOs manage time', *Harvard Business Review*, 96(4), pp. 42–51.